

Policy Analysis:
Analysis & Recommendations for
Government's Policy on "Prevention &
Regulation of Online Gaming"

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Policy Analysis

The “Prevention and Regulation of Online Gaming Act, 2025” regulates the online gaming sector to prevent societal harm caused due to production & consumption of inappropriate, unsafe and illegal online games. An analysis shows that the Act causes sudden disruption in the existing unregulated free market for online games and burdens the government in its new game certifying role with subjective qualifiers. This brief suggests improving the Act by (i) Reducing Government interventions in promoting any particular genre (ii) Reducing overheads due to subjectivity in approval process by letting the industry instead work in a leadership role on global standardization of device platforms and apps that would ensure safer and legal apps globally for user consumption and (iii) Slowing down and taking a phased approach by temporarily relying on self-declarations by industry for certifications until the global standards are ready within a reasonable time frame.

Brief Analysis

Analysis

The current act provisions a much-needed regulatory framework for the online games industry. The classification of online games and the establishment of a legal framework consisting of offenses/penalties/redressals are commendable portions of the act, the awareness of which by itself would bring much-needed order into industry and society.

However, there are portions of the act that change the Government position suddenly and drastically from “Do nothing” to “Umpiring by changing incentives majorly” thereby disrupting the otherwise free market. These sudden changes are:

- a) Governmental bias towards some online game genres
 - (i) Promotion of e-sports
 - (ii) Banning of online money games
- b) Government certification and registry listing for online games

The basis for certification is as of today not well defined as objective criteria with verifiable measures making the job of the Government very subjective and loaded because of the limited capacity of the government. The subjective certification process also challenges the industry’s product release cycles and costs impacting innovation and competition from smaller players.

Hence, the below outcomes are projected.

Outcomes

Intended	Unintended
• <u>Creation of an authority for online gaming regulation</u> • <u>Control on games & social impact:</u> • Online money app's will be removed from marketplace • Overall reduction in the number of online games available in the marketplace • e-sport/social game producers will begin to voluntarily queue up for certifications • e-sport/social games will begin to slowly	• <u>Free market distortion:</u> • <u>Distortion due to sudden switch in government role</u> from "do nothing" to "umpiring to change incentives majorly". Many games may be taken off the marketplace. • <u>Distortion due to governments personal (temporary) bias</u> towards e-sports over other genre of online social games • <u>Distortion due to higher entry barrier and sustenance costs</u> for game producers. Market rivalries and hence

appear in the marketplace as and when such games are approved by authority. • e-sport/online social games will strive to upgrade to maintain compliance • Based on quality of certification, social impact and harm may or may not reduce • <u>Availability of legal framework & stakeholder access to grievances redressal:</u> Aggrieved game consumers, producers, advertisers, financiers will begin to use the grievance redressal mechanisms to get their grievances addressed	market monopolies may emerge. Many game production houses with limited resources may close. Higher costs due to: ○ <u>Longer Innovation & prototyping cycles</u> for new games due to hesitation to move ahead on core development until obtaining in principle approval for game idea from authority. ○ <u>Time & effort in getting final versions certified</u> (re-certified for further releases) due to subjectivity, technology, and capacity limitations of authority. • <u>Regulatory uncertainty/capture issues:</u> Early phase of Act/Rules and premature loading caused by high transaction volume (applications), transaction complexity due to subjectiveness, and limited state capacity/capability can lead to many back-and-forth transactions; hence sunk costs for game producers and rent seeking behaviour from regulators • <u>Parallel market for unofficial & Illegal games:</u> • <u>Non-certified social games:</u> Small developers without capacity to spend on certifications will find a new unofficial market. Unofficial developer versions of game will be downloadable from non-marketplaces (developer releases direct to phone). • <u>Banned online money games:</u> Can remain in use as unofficial versions or official versions usable using work arounds like VPN, remote login to bypass geo checks etc. • <u>Online games with offline money wagering:</u> Any online social game can be supplemented with offline wagering of money. E.g. an online certified cards game for social entertainment can be supplemented with offline money wagering outside the game. • <u>Inconsistency with constitution provisions:</u> Technically, banning of online money games is inconsistent with constitutional provisions for states (Schedule VII, state list 34) to decide on permit for online money games (gambling/betting) and can create further
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	create legal complication in the matter in future. E.g. Goa, Sikkim allow physical money game.
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Recommendations

There is industry disturbance due to government bias towards some online games and sudden certification requirements imposed on online game. The recommendation is to make some minor changes in act to (i) Remove government bias towards games and (ii) focus on defining an "online game architecture requirements specification" which will eventually converge through the contributions from industry into a set of online game standards/tests for compliance which the government can adopt as final certification criteria for approvals.

This approach is to reduce the immediate industry disturbance and instead allow industry to take a global leadership role and use its expertise to define certification standards that the Government would eventually use. The certification standards would also recommend game architectures that would allow prohibitable portions to be developed as components that can be enabled or disabled based on jurisdiction. This would prevent blanket bans on online games and instead recognize allowed features of the game in any jurisdiction. Following changes in act are thus proposed.

Changes in Act

CHAPTER	Recommendation	Reason for recommendation
I. PRELIMINARY	-	
II. DEPLOYMENT & RECOGNITION	Remove "promotion" of any specific online game genre to remove bias towards any sector (including e-sport). The current steps listed indicate more that needed government involvement in promotion.	Let market decide and government can help on a case-to-case basis outside this act. Adding a particular genre to the act may need frequent updates in act when new priority genres are identified. E.g. A online social game with health benefits for handicapped
III. PROHIBITION	Reword this chapter sections to indicate specific "components" of the online game to be prohibited based on geographic relevance, instead of the complete game. Money wagering would be one such example component prohibited based on geography. <u>Note:</u> This change may mean changing the definition of an online money game in Chapter (I) as a <u>social game with a money wagering component</u>.	Broad classification of a game and prohibition rule ban the entire game. Consider a game as consisting of (E.g. core game component + wagering component). Flexibility in game software architecture to enable/disable legal components based on geographic location of device may be a better approach to make the game adaptable to different geographies. This may also be the way games are implemented, and so industry may favour this approach. E.g. dream11 has been reportedly released without the money wagering component after this act. .

	Introduce a provision for limited money wagering if wagering is allowed in some geographies. Additional wagering tax can be levied.	Money wagering cannot be prevented. If not possible online, it will be done offline based on outcomes of the game played online. It may be better to allow limited time-bound and money-bound wagering online within the online game for government to earn a small revenue.
IV. AUTHORITY ON ONLINE GAMING	<u>Split 8(2)(a) as:</u> 8(2)(a.1) - Authority will <u>publish</u> an initial "online game architecture requirements specification" document which will list the high-level architecture requirements of any game and device platform which make the game both <u>safe and legal</u> and will qualify the game for certification. 8(2)(a.2) - Authority will <u>promote</u> the online gaming industry to research on these architectural requirements and arrive at "standards/test specifications" for games and games platforms. The same will substitute as qualifying criteria for game certifications 8(2)(a.3) - Authority will <u>promote</u> the online game industry to take leadership role in driving efforts to harmonize the "standards/test specifications" across the globe to ensure convergence of all online games to same level of quality/safety/legality wherever produced across the globe.	Subsection 8(2)(a) has been oversimplified to just determining if the online game is prohibited based on being a money game. The secure features of the game also need to be considered for qualification and certification of the game. The load on the government is maximum here due to transaction volume, transaction complexity (subjective) and limited capacity/capability of government and must be minimized over time to just create a checklist of standard compliances.
V To VI) Others	-	May be some minor changes due to recommendations above to keep the act provisions consistent

Timelines

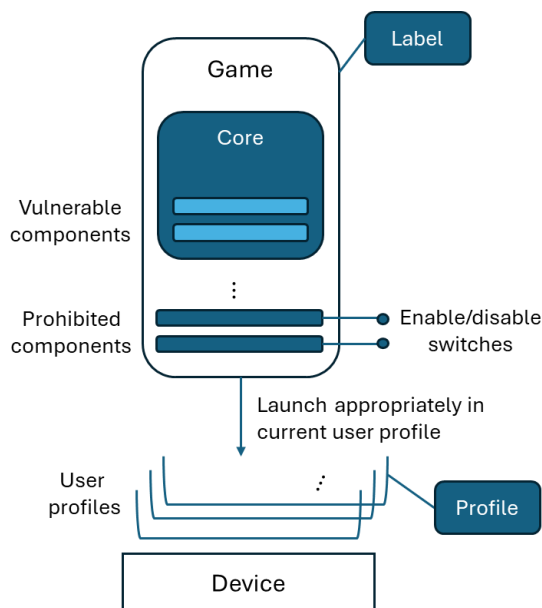
It will take some time for the certification criteria to evolve into standards for the authority to adopt and implement in certifications.



The authority may need to adapt to certification criteria evolution by permitting a self-declaration approach for industries to start with which would eventually get converted into strict standard compliances for approval.

Architecture Requirements Specification (Illustrative)

The following illustrative requirements for game and device platform architecture will ensure delivery of legal, safe and age-appropriate game content. The gaming industry needs to standardize these requirements to the extent of defining tests to validate games on these requirements. This would help to make game qualification for certifications more objective and less prone to subjectivity. It will lead to lower load on government to qualify and certify games.



Requirements for	Requirements	How it help
Game	Game label E.g. Genre (3-word) for users to decide. E.g. "educational, maths,	This will be displayed in the device marketplace. Helps user to download appropriate game

	puzzles", "game, skill, strategy" • <u>Brief description</u> of game • <u>Age rating</u> for the game like cinema E.g. 3+, 5+, 12+, 18+ etc. A scientific guide for this to be published as an appendix to the online games spec • <u>Free/Paid</u> information • <u>User rating</u>	
	Game usage control component E.g. • Games to launch in a multi-user device platform only • An age check before launching • An genre/age-based time restriction algorithm on usage to be inbuilt in game. • A scientific guide for this to be published as an appendix to the online games spec	Helps game to launch and run based on user age and time limits
	Secure game components E.g. Released game to pass industry standard secure software requirement • User data privacy • Safe software (free of malware, open source etc.)	Helps game to run safely without harm to device or user like stealing of personal data
	Fair game components E.g. • Industry defined tests to prove fairness of their internal randomness generating components.	Helps to ensure the underlying algorithms are fair and not manipulative
	Legal game components E.g. • Design flexibility inbuilt for working with or without wagering component based on location which could be IP and/or location based.	Helps avoid illegality in use of game
device platform	Multi-user support environment E.g. • Multi-user support with user profiles holding age information populated based on Aadhaar based verification in India	Helps games to run in an appropriate user profile environment that is created in an authorized way, say through Aadhaar based verification in India to add the age attribute in the user profile. The age information in the user profile is then used by the game to adapt game to the user age and other attributes.

Recommendation Outcomes

The recommendation outcomes have been projected below. The recommendations will yield outcomes over a period (not immediately) as and when global certification standards for online games are established. A reasonable time of 5 years can be assumed for the standards to fully emerge and associated testing standards and harnesses to become available for validation.

Criteria	Before Act	After Act	Act with recommendations (After 5 years)
Primary objectives:			
Unlawful financial wagering prevention (by regulating online money games)	Low ¹	Uncertain ⁴	Uncertain ⁹
Unlawful financial fraud prevention (by using unsecure/unfair vulnerable games)	Low ¹	Uncertain ⁴	High ¹⁰
Social health/moral/ethical harm prevention (by overuse or age-inappropriate use of games)	Low ¹	Uncertain ⁴	High ¹⁰
Industry and societal empowerment due to legal framework (offences/penalties/grievances mechanism)	-	High ⁵	High ⁵
Industry innovation	High ²	Medium ⁶	High ¹¹
Free market condition	High ²	Medium ⁶	High ¹¹
Policy effectiveness:			
Constitutional compliance	Status Quo ³	Violation ⁷	Status Quo ¹²
Govt. certification ineffectiveness	-	High ⁸	Low ¹³
Govt regulatory costs (overheads)	-	High ⁸	Low ¹³
Govt regulatory uncertainty/capture	-	High ⁸	Low ¹³

Notes:

Before Act

1. Low prevention due to no laws
2. High due to free industry innovation due to no laws
3. Status quo due to no violation in the prevailing constitutional position on betting & gambling

Due to Act:

4. Uncertain due to low effectiveness in prevention of undesirables due to coercive methods instead of global level architectural changes in apps & device platforms for safety and legality
5. High due to needed legal framework provided by the Act
6. Medium because of distortions caused by government interventions in free market leading to industry shock - "do nothing" to "umpiring to change incentives majorly"

7. Violation due to total ban on online money games effected by the union for a matter in the state list
8. High because of ineffective government role due to high transaction volumes and complexity (technical and subjective matters)

Act with recommendations:

9. Uncertain due to nature of wagering which can still be done offline though online provisions are available with limits
10. High due to global standardization and compliance in device and app architectures
11. High because industry bounces back with clear global specifications for compliance. There is no government intervention in the areas of gaming to promote. Money games are made optional components of the games enabled based on geographic location information
12. Status quo restored due to government providing option for states in their geographies to enable online money gaming
13. Low due to introduction of global verifiable standards for device platforms and apps that help to make the certification process objective and low load on government

Conclusion

The current act provisions a much-needed regulatory framework for the online games industry. However, the recommended approach involving a genre-neutral stand from Government, and a phased approach from Government for qualifying online games will give time for the industry to take a global leadership role to define standards for certification and abide by the same over time thus simplifying the Government role in certification of online games.